BOARD OF CBA

MINUTES
(06.11.2012)

Refinancing Rate for November of 2012

The 6th of November 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of end-October and addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 1.82 percent of inflation recorded in October, and the 12-month inflation went up to 3.4 percent, nearing the target level. In October too, the monthly inflation was driven by increased food prices (with 1.0 pp of contribution to headline inflation). Accordingly, items “fruit”, “vegetable and potato”, “fats and oils” and “bread products” reported price increases of 5.6 percent, 9.0 percent, 3.6 percent and 2.6 percent, with their contributions making up 0.2 pp, 0.6 pp, 0.12 pp and 0.28 pp, respectively. Core inflation in October was around 3.5 percent, mostly consistent with the 12-month inflation figure.

In the period January-September of 2012, relative to the previous reference period, the Economic Activity Indicator has been 7.6 percent. Based on the last nine months' results, heightened economic activity has been attributable to output volumes reported in industry and agriculture, having increased by 11.6 percent and 10.5 percent, respectively. The growth of output in construction and services has been 2.9 percent and 6.8 percent, respectively.

In the period January-September of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 6.0 percent and 1.2 percent, respectively. Private remittances of individuals have grown in the meantime by 9 percent y-o-y.

The third quarter results suggest that private consumption growth rates will remain strong, as much as 8.2 percent, whereas private investment growth rates are expected to decelerate to 1.9 percent. The fiscal policy's impact on aggregate demand is estimated as contractionary, determined by contractionary effect of both revenues and expenditures, which will somehow offset the inflationary pressures from private consumption.

In the financial market in October, monthly interest rates performed mainly stably and even trended down. As a result, average interbank repo rate amounted to 8.9 percent, dropping by 0.55 percent from the previous month's figure; market rate of treasury bills with up to 1-year of maturity rose by 0.15 percent 9.58 percent; and interest rate of stock exchange-traded interbank loans reached 7.76 percent, falling by 0.33 percent from the previous month's figure.

In the foreign exchange market in October, the dram exchange rate performed as follows: relative to the previous month's average, the dram appreciation versus the U.S. dollar was 0.5 percent to AMD 406.7; it however depreciated versus Euro by 0.6 percent to AMD 527.5 and versus Ruble by 0.7 percent to AMD 13.1. In October the U.S. dollar depreciated versus Euro by 0.8 percent (y-o-y appreciation – 5.6 percent).

The monetary policy indicators performed as follows: the 12-month growth of broad money and dram broad money were 23.0 percent and 18.4 percent, respectively; the y-o-y growth of dram deposits and foreign currency deposits were, respectively, 30.2 percent and 29.4 percent (or 21.2 percent when impact of the exchange rate is excluded). Growth rates of lending to the economy remained strong in October too, making up 27.9 percent y-o-y, in which structure loans in foreign currency again prevailed.

In October of 2012 some minor deflationary pressures were observable in main commodities markets but inflationary trends in food markets in the world.

In October of 2012, relative to the September of 2012, the average price of "Brent" crude oil has fallen by 1.2 percent (with y-o-y increase of 2.3 percent). In October the price of gold dropped by 0.1 percent (with y-o-y increase of 4.4 percent), and the copper price reduced by 0.4 percent (with y-o-y increase of 8.8 percent).

In October the Food Price Index of FAO fell by 0.9 percent against the previous month's index (mainly attributable to reduced prices of fats and oils), under which circumstance the Index has declined by 1.1 percent. The wheat price however rose in October, at relatively slowly pace though, by 1.4 percent (with y-o-y growth amounting to 23.9 percent). The sugar and rice prices posted increases of 4.7 percent and 1.9 percent, respectively (relative to the same reference period of the previous year the decline has been 22.5 percent and 7.9 percent, respectively).

The U.S. Federal Reserve System will keep the policy rate low, in the region 0 – 0.25 percent up until mid-2015 and remain committed to lowering long-term interest rates amidst high unemployment and sluggish recovery of the economic growth.

Similarly, the European Central Bank again left the policy rate unchanged in October, in the light of inflation expectations anchored in the medium run as well as fragile economic growth and inflation still uncomfortably high.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The Board admits that minor inflationary effects are still expected from the external sector. The global demand is anticipated to be weak in the forecast horizon in the face of persisting uncertainties over political solutions to debt problems in developed countries. Yet world wheat price persistently high points to the existing fundamental tightness in global food markets. This will carry on leaving an impact on domestic prices, resulting in an increase of the prices in item "bread products". Geopolitical developments are such that risks to energy prices from the external sector are possible to emerge.

The Board evaluates that the impact of developments in the Armenian economy on domestic prices in the forecast horizon will remain moderately inflationary, which is determined by persistently high consumption rate and faster-than expected rate of growth of the economy. The impact of the aforementioned inflation factors on domestic prices will be somehow offset by contractionary impact of the fiscal policy.

In view of the 12-month inflation behavior in the recent months and minor inflationary impact on domestic prices expected from external sector and domestic economy, the Board finds it reasonable to withhold from changing the refinancing rate. In this circumstance, in the upcoming months the 12-month inflation will come closer to the 4 percent target and will stay around that level in the forecast horizon.

To minimize interest rate volatility in the interbank market, the Board is in the closing phase whereby the spread between the CBA's Deposit Facility and Lombard Facility rates will be narrowed from 4 pp. to 3 pp.

In the 6th of November 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 9.5 percent and 6.5 percent, respectively.